EXECUTIVE REPORT

Simulated Diversified ETF Portfolio — First-Month Cutoff

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Cutoff date: September 25, 2026 (31 days / 1.0 month since opening)

Figures calculated with the portfolio's own tracking system, using official market closing prices for the cutoff date.

1. Executive Summary

At the close of the first month of operation (September 25, 2026), the simulated portfolio is valued at $101,748.91 USD, equivalent to a return of -0.80% since its opening, versus +0.97% for the S&P 500 in total return — the industry standard for performance analysis and therefore the metric against which the portfolio is compared — over the same period, a lag of 1.77 percentage points relative to the benchmark. Section 6 of this report details the structural reasons for this result.

The reported portfolio return (-0.80%) is net of all fees. As additional context, before entry costs (the currency-conversion fee and the GMF, the Colombian financial transactions tax, totaling $1,838.94 USD) the portfolio would have returned approximately +1.01% (a value of $101,748.91 USD against the $100,733.11 USD invested in the market), slightly more than the S&P 500 in total return (+0.97%; a difference of 0.04 points) and the price index (+0.86%). The lag versus the benchmark therefore stems from the one-time costs of opening the position, not from the performance of the investments.

The portfolio return already incorporates the actual currency-conversion fee (COP to USD) paid when the positions were opened, as well as the Colombian financial transactions tax (GMF), the cash remainder generated by the rebalancing executed on September 17, and all dividends received by the positions during the month — no actual cost or income component is left out of the calculation.

2. Assumptions and Methodology

- Exchange rate: the conversion of Colombian pesos into dollars to open the portfolio was carried out at the trading rate of Global66 (an online currency-transfer platform) — not at the official exchange rate (TRM, Colombia's representative market rate) — of $3,074.50 COP/USD. The transfer was assumed to have been ordered on August 20, 2026, allowing three business days for delivery to Interactive Brokers (August 21, 24 and 25), so that the funds would be available on August 25, the opening date and the purchase date of the 13 positions. It is the only relevant exchange rate in the whole life of the portfolio to date.
- Currency-conversion fee: the conversion of pesos into dollars was executed through Global66, with a fee of 1.4% on the amount sent, recorded by the platform as an “exchange-rate cost” and with no additional operating costs (rate verified in a platform quote for a transfer equivalent to about USD 100,000).

- GMF cost: the Gravamen a los Movimientos Financieros (Colombian financial transactions tax, 4 x 1000, i.e., 0.4%) is a Colombian tax, independent of Global66, and is calculated on the amount sent, that is, on the portfolio's acquisition cost plus Global66's fee.
- Since the capital of $100,733.11 USD is the net amount that was actually invested in the market, the actual amount disbursed by the investor is equivalent to $102,572.05 USD (about $315,357,771.28 COP at the rate of $3,074.50) — that is, the fee paid was $1,430.29 USD and the GMF cost was $408.65 USD. This figure, and not the net amount invested, is the correct basis against which the investor's actual return is measured.
- Transaction commissions: all ETF buy and sell transactions were executed through Interactive Brokers under the IBKR Lite plan, which charges no commission on trades in U.S.-listed stocks and ETFs. For this reason, none of the portfolio's transactions — including the opening of the 13 initial positions and the September 17 rebalancing — generated brokerage costs.
- SPY → SCHD rebalancing (September 17, 2026): the entire SPY position was sold and the resulting proceeds were reinvested in SCHD. The decision responded to a structural reason, not a market signal: SPY tracks the same index (S&P 500) used as the portfolio's comparison benchmark, so keeping it as an internal position diluted the validity of the central research question — whether a diversified mix of ETFs can outperform the S&P 500. SCHD was chosen over other dividend alternatives for two reasons: its low technology exposure (~8.5%) and its weighting in health care and energy, which complement — rather than reinforce — the technology concentration already in the portfolio (MAGS, XLK, SOXX); and its solid and consistent dividend-payment history, an additional quality criterion aligned with the project's fundamental-analysis approach.
- Cash remainder: the sale of SPY and the purchase of SCHD left an uninvested remainder of $18.90 USD, resulting from the difference between the amount obtained in the sale and the cost of buying whole shares of SCHD. This remainder is explicitly accounted for as cash within the portfolio value, earning no return — Interactive Brokers Lite does not pay interest on small uninvested cash balances.
- Dividends: during the month, the portfolio's positions generated $250.57 USD in actual dividends, attributed to the exact payment date of each ETF and to the number of shares held by the portfolio that day. Added to the $18.90 remainder, they make up the cash balance of $269.47 USD shown as the “CASH” position in the table in Section 5.
- Comparison benchmark: the portfolio's return is compared with the S&P 500 in total return (^SP500TR), that is, with dividends reinvested, because it is the industry standard for evaluating the performance of a portfolio that receives dividends. The price index (^GSPC), which is the one commonly cited by the financial media, does not include dividends and is shown only as a contextual reference. The portfolio's return is net of all fees (currency conversion and GMF); dividends received are held in cash, not reinvested, until the pending rebalancing. The other figures shown (for example, the return before entry costs) are for context only.
- To generate the data for the tables, dividend calculations, charts and the rest, the yfinance library, the VS Code platform and the artificial intelligence assistant Claude were used; their code was subjected to rigorous review and correction by the author of this report. The code is available to any interested party.

3. Selection Criteria for the 13 Original Positions

Beyond sector and geographic diversification, the selection of the 13 positions that opened the portfolio on August 25, 2026 incorporated an additional filter: each asset had to have a positive total-return track record —

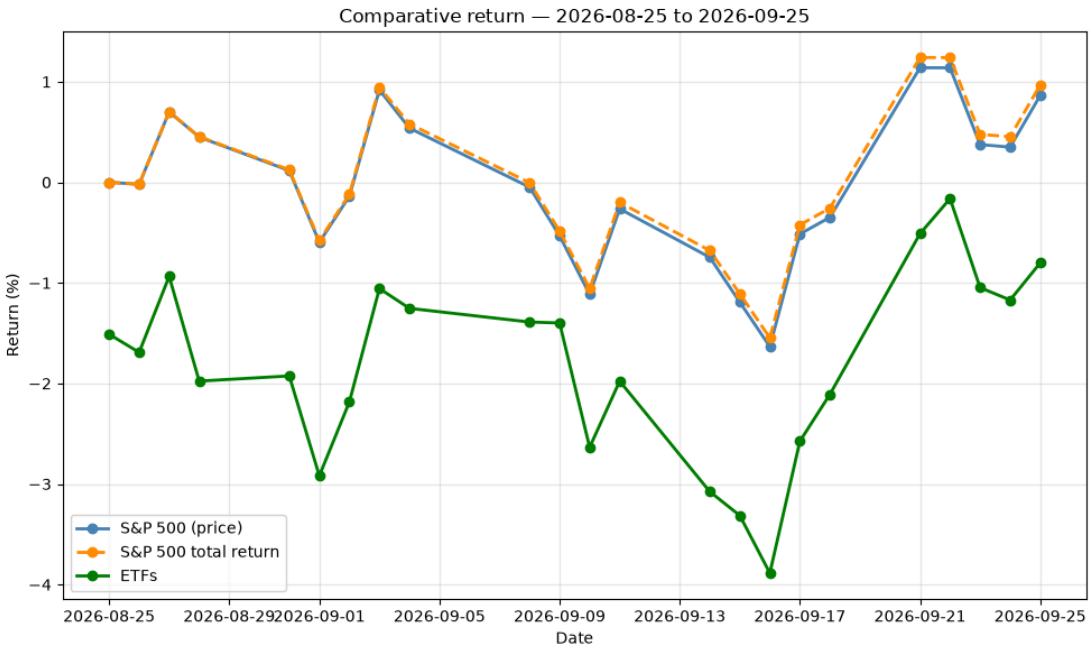
and, in several cases, one above that of the S&P 500 — over an extended horizon prior to its inclusion. For most positions 5 years of history were verified; MAGS and IBIT, because they have traded for a shorter time, were evaluated over horizons of 3 and 2 years respectively. Total return includes reinvested dividends, not just price change. The S&P 500 is also compared in total return (^SP500TR), so that both sides of the comparison are measured with the same criterion; the return of the price index (^GSPC) is shown only as a reference.

Position	Horizon	Period verified	Total return	S&P 500 (total return)	S&P 500 (price)	Beat S&P?
SOXX	5 years	2021-08-25 to 2026-08-25	+247.52%	+83.43%	+70.75%	Yes
XLE	5 years	2021-08-25 to 2026-08-25	+205.29%	+83.43%	+70.75%	Yes
COPX	5 years	2021-08-25 to 2026-08-25	+204.26%	+83.43%	+70.75%	Yes
GLD	5 years	2021-08-25 to 2026-08-25	+155.59%	+83.43%	+70.75%	Yes
XLK	5 years	2021-08-25 to 2026-08-25	+139.64%	+83.43%	+70.75%	Yes
MAGS	3 years	2023-08-25 to 2026-08-25	+131.24%	+81.31%	+74.26%	Yes
SPY	5 years	2021-08-25 to 2026-08-25	+82.55%	+83.43%	+70.75%	No
VTI	5 years	2021-08-25 to 2026-08-25	+74.99%	+83.43%	+70.75%	No
ILF	5 years	2021-08-25 to 2026-08-25	+70.21%	+83.43%	+70.75%	No
KBWB	5 years	2021-08-25 to 2026-08-25	+65.21%	+83.43%	+70.75%	No
IWM	5 years	2021-08-25 to 2026-08-25	+43.08%	+83.43%	+70.75%	No
XLV	5 years	2021-08-25 to 2026-08-25	+40.48%	+83.43%	+70.75%	No
IBIT	2 years	2024-08-25 to 2026-08-25	+23.91%	+40.14%	+36.68%	No

6 of the 13 original positions outperformed the S&P 500 in total return over their respective verification horizon, and all of them recorded a positive total return — consistent with the “winning position” criterion applied before including each asset in the portfolio. SPY and VTI did not outperform it, which is to be expected: SPY replicates the index itself and VTI the U.S. market as a whole, so they cannot outperform it systematically; against the price index (^GSPC) both would have appeared to outperform only because of the effect of reinvested dividends, which is why that reference is shown only as context. The other positions that did not outperform the benchmark (ILF, KBWB, IWM, XLV and IBIT) were included anyway for their contribution to the portfolio's sector and geographic diversification — the historical-performance filter was an additional criterion, not an exclusionary one, to the diversification logic.

4. Comparative Performance — Portfolio vs. S&P 500

The following chart shows the daily evolution of the portfolio's cumulative return (net of fees) against the S&P 500 in total return — the comparison metric — and, as a contextual reference, against the price index, from the opening (August 25, 2026) to the cutoff close (September 25, 2026):



The portfolio remained below the S&P 500, in both total return and the price index, throughout the entire period

5. Composition and Performance at the Cutoff Close

The following table summarizes the 14 positions held at the close of September 25, 2026, ordered from largest to smallest weight within the portfolio:

Position	Quantity	Price	Value (USD)	Weight %	Return %
SCHD	449.00	$33.21	$14,911.29	14.65%	-2.04%
SOXX	20.00	$572.68	$11,453.60	11.26%	+13.14%
VTI	27.00	$378.81	$10,227.98	10.05%	+0.46%
MAGS	119.00	$72.64	$8,644.16	8.50%	+8.10%
XLK	44.00	$196.27	$8,635.88	8.49%	+9.01%
XLE	127.00	$62.04	$7,879.08	7.74%	-1.70%
XLV	46.00	$170.70	$7,852.20	7.72%	-2.29%
GLD	19.00	$393.41	$7,474.79	7.35%	-7.80%
IBIT	112.00	$47.57	$5,327.84	5.24%	+6.56%
ILF	144.00	$34.75	$5,004.00	4.92%	-0.06%
IWM	17.00	$281.97	$4,793.49	4.71%	-5.37%
KBWB	52.00	$89.97	$4,678.44	4.60%	-6.43%
COPX	53.00	$86.73	$4,596.69	4.52%	-8.25%
CASH	269.47	$1.00	$269.47	0.26%	+0.00%

The dividends received during the month, attributed to the exact payment date of each ETF and to the number of shares held by the portfolio that day, are detailed below:

Position	Payment date	Dividend per share	Shares	Amount (USD)	% of total
SCHD	2026-09-23	$0.2670	449.00	$119.88	47.8%
XLE	2026-09-21	$0.3800	127.00	$48.26	19.3%
XLV	2026-09-21	$0.6420	46.00	$29.53	11.8%
KBWB	2026-09-21	$0.4600	52.00	$23.92	9.5%
IWM	2026-09-15	$0.7500	17.00	$12.75	5.1%
XLK	2026-09-21	$0.2210	44.00	$9.72	3.9%
SOXX	2026-09-15	$0.3250	20.00	$6.50	2.6%
TOTAL				**$250.57**	**100.0%**

Note: the amounts per position are shown rounded to cents; the total of $250.57 USD corresponds to the sum of the unrounded values.

6. Analysis: Why Did the Portfolio Return Less Than the S&P 500?

A prior distinction is necessary: the 1.77-point lag versus the S&P 500 in total return is net of entry costs. Before the conversion fee and the GMF ($1,838.94 USD, about 1.8 percentage points of the disbursed capital), the portfolio would have returned approximately +1.01%, practically the same as the index (+0.97% in total return; a difference of 0.04 points). The performance of the investments was therefore equivalent to that of the benchmark, and the lag stems from costs that are paid only once, when the position is opened, and that do not recur in subsequent cutoffs. These pre-fee figures are presented only as context: the portfolio's return and its comparison with the benchmark are net of fees.

The 1.77-point lag versus the benchmark is not explained by weak performance across the board — in fact, four portfolio positions (SOXX +13.14%, XLK +9.01%, MAGS +8.10% and IBIT +6.56%) posted returns well above the S&P 500's +0.97% in total return over the same period. The problem is one of balance between winners and losers, not an absence of winners.

At the close of the cutoff, positions with positive returns together represent 43.5% of the portfolio's weight, while positions with negative returns account for the remaining 56.2% — an unfavorable proportion that explains why the gains concentrated in semiconductors and technology (SOXX, XLK, MAGS, IBIT) were not enough to offset the losses spread across commodities (COPX -8.25%, GLD -7.80%), the sector-specific financial position (KBWB -6.43%), small caps (IWM -5.37%), health care (XLV -2.29%) and the new dividend position SCHD (-2.04%, only 8 days after its incorporation).

Macro context: the rise in Treasury yields (^TNX)

During the evaluated period, the yield on the 10-year Treasury bond (^TNX) rose from 4.639% on August 25 to 5.184% on September 25, 2026 — an increase of 54.5 basis points (+11.75% in relative terms), one of the

sharpest monthly moves of the year. This rise helps explain the behavior of several of the most affected positions:

- Gold (GLD, -7.80%): gold generates no cash flow or interest. When the real rate rises faster than inflation expectations, the opportunity cost of holding it increases relative to Treasuries that now offer a higher "risk-free" yield, encouraging a rotation of capital out of gold.
- Copper (COPX, -8.25%): copper is sensitive to global economic growth expectations. The rise in rates fueled fears of a slowdown in industrial activity, and the strengthening of the dollar that usually accompanies higher U.S. rates makes copper more expensive for buyers outside the U.S., putting even more pressure on its price.
- Regional banks (KBWB, -6.43%): although higher rates structurally favor banks' net interest margin, a sharp rise concentrated in a few weeks — like this month's — typically has the opposite effect in the short term: unrealized losses on the bond portfolios that banks hold on their balance sheets, a phenomenon that weighed on the U.S. regional financial sector in a way similar, though of smaller magnitude, to earlier episodes of banking stress linked to rapid rate movements.
- Energy (XLE, -1.70%): the environment of elevated energy prices documented in earlier months of the project led to an expectation of better XLE performance; however, the simultaneous rise in rates and in the dollar moderated crude-oil demand expectations — by making oil more expensive in terms of other currencies and anticipating lower global economic activity — partially offsetting the boost that an expensive-energy context normally brings.

Taken together, the rise in ^TNX acted as a common denominator behind the lag of several positions relative to the S&P 500 — an index with lower direct sensitivity to this kind of move in real rates than the commodity assets and the regional financial sector held by the portfolio.

The underlying structural cause, beyond the one-off effect of rates, is that the S&P 500, as a market-capitalization-weighted index, has considerable and concentrated exposure to the same technology mega-caps that drove the rise in MAGS and XLK — capturing much of that same momentum directly and undiluted. The portfolio, by contrast, deliberately distributes capital toward assets with low correlation to technology — gold, copper miners, regional banks, small caps and now dividends — with the goal of reducing volatility and concentration risk over the long term. In a month in which market leadership was markedly concentrated in the artificial-intelligence and semiconductor cycle, and in which there was also a sharp rise in rates that specifically penalized the portfolio's diversifying assets, that same diversification acted as a relative drag against an index that does not bear that same opportunity cost.

This reading is consistent with the portfolio's stated objective: the aim is not to replicate or beat the S&P 500 at every monthly cutoff, but to evaluate whether diversification produces a superior risk-return profile over a longer horizon. One month is too short a period to conclude whether the strategy is successful or not — Section 7 sets out the next steps for continuing to evaluate it rigorously.

7. Next Steps

- Evaluate at this cutoff, now that the month has been completed, whether it is appropriate to reduce the weight of the winning technology positions (MAGS, XLK, SOXX) to control the already-recognized concentration risk, adding international geographic exposure (outside the U.S./Latin America) and an additional defensive sector, without liquidating any position that is at a loss.

- Maintain the explicit record of fees, cash remainders and dividends at each future cutoff, following the same methodology applied in this report.
- Continue the daily tracking of the portfolio against the S&P 500, documenting each rebalancing decision with its explicit justification before executing it.